

Clyde Lighthouses Order Confirmation Act, 1957

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CHAPTER v

An Act to confirm a Provisional Order under the Private
Legislation Procedure (Scotland) Act 1936 relating to
Clyde Lighthouses. [19th December 1957.]

WHEREAS the Provisional Order set forth in the schedule
hereunto annexed has been made by the Secretary of
State under the provisions of the Private Legislation
Procedure (Scotland) Act 1936 and it is requisite that the said
Order should be confirmed by Parliament:

Be it therefore enacted by the Queen's most Excellent Majesty
by and with the advice and consent of the Lords Spiritual and
Temporal and Commons in this present Parliament assembled
and by the authority of the same as follows:—

1. The Provisional Order contained in the schedule hereunto
annexed is hereby confirmed. Confirmation
of Order in
schedule.
2. This Act may be cited as the Clyde Lighthouses Order Short title.
Confirmation Act 1957.

SCHEDULE

CLYDE LIGHTHOUSES

Provisional Order to authorise the Trustees of the Clyde Lighthouses to borrow money for the purposes of their undertaking and for other purposes.

WHEREAS the Trustees of the Clyde Lighthouses (hereinafter referred to as "the Trustees") are vested in the undertaking described in the Clyde Lighthouses Consolidation Order 1940 (hereinafter referred to as "the Order of 1940") and in the management thereof and provision is made by the Order of 1940 for the lighting and buoying of the River and Firth of Clyde by the Trustees within the limits of the Trustees as prescribed by the Order of 1940:

And whereas to enable the Trustees properly to discharge their functions and duties under the Order of 1940 and in particular to enable them to carry out the requisite modernisation of the lighthouses and other aids to navigation maintained by them within the said limits it is expedient that they should be authorised to borrow money as provided by this Order and that the provisions contained in this Order with respect thereto should be enacted:

And whereas it is expedient that the further provisions contained in this Order should be enacted:

And whereas the purposes aforesaid cannot be effected without an Order confirmed by Parliament under the provisions of the Private Legislation Procedure (Scotland) Act 1936:

Now therefore in pursuance of the powers contained in the said Act the Secretary of State orders as follows:—

Short and
collective titles.

1. This Order may be cited as the Clyde Lighthouses Order 1957 and this Order and the Clyde Lighthouses Consolidation Order 1940 may be cited together as the Clyde Lighthouses Orders 1940 and 1957.

Interpretation.

2. In this Order unless the context otherwise requires—

(a) words and expressions to which meanings are assigned by the Clyde Lighthouses Consolidation Order 1940 (in this Order referred to as "the Order of 1940") shall have the same respective meanings; and

(b) "authorised rates" means the rates which the Trustees are for the time being authorised to levy collect and receive;

"Minister" means the Minister of Transport and Civil Aviation;

"trustee securities" has the same meaning as in the Local Government (Scotland) Act 1947.

Power to
borrow.

3. The Trustees may from time to time borrow at interest on the security of the undertaking and of the authorised rates such sums of money not exceeding in the whole the sum of five hundred thousand pounds as they may think fit for the purpose of carrying out such works of a capital nature as they may deem expedient and the Trustees may raise such money by any of the following methods namely:—

(a) by mortgage that is to say by deed containing an assignation by way of security of the authorised rates in accordance with the provisions of this Order;

- (b) by overdraft from any bank;
- (c) by means of a cash credit account with any bank; or
- (d) by temporary loan or deposit receipt;

or partly by one of any of such methods and partly by another of such methods:

Provided that the total amount of money borrowed by the Trustees under paragraphs (b) (c) and (d) of this section and for the time being outstanding shall not (exclusive of interest thereon) exceed the sum of fifty thousand pounds.

4. The Trustees shall pay off all moneys borrowed by them under this Order within such periods not exceeding forty years from the date of borrowing the same as the Trustees may determine. Repayment of borrowed money.

5. The Trustees shall pay off all moneys borrowed by them on mortgage under this Order either by means of a sinking fund formed under the provisions of this Order or by equal yearly or half-yearly instalments of principal or of principal and interest combined or partly by one of those methods and partly by another or others of them and the first payment to the sinking fund or the payment of the first instalment shall be made within twelve months or (when the money is repayable by half-yearly instalments) within six months from the date of borrowing. Mode of repayment of moneys borrowed on mortgage.

6.—(1) If the Trustees determine to repay by means of a sinking fund any moneys borrowed on mortgage under the powers of this Order such sinking fund shall be formed and maintained either— Sinking fund.

- (a) by payment to the fund throughout the period fixed for the repayment of the sum borrowed (in this section referred to as "the fixed period") of such equal annual sums as will be sufficient to pay off within that period the sum for the repayment of which the sinking fund is formed; or
- (b) by payment to the fund throughout the fixed period of such equal annual sums as with accumulations at a rate not exceeding such rate as the Minister may approve will be sufficient to pay off within that period the sum for the repayment of which such sinking fund is formed.

(2) A sinking fund formed in the manner described in paragraph (a) of the foregoing subsection is hereinafter called "a non-accumulating sinking fund" and a sinking fund formed in the manner described in paragraph (b) of the foregoing subsection is hereinafter called "an accumulating sinking fund".

(3) Every sum paid to a sinking fund shall unless applied in repayment of the sum for the repayment of which the sinking fund is formed be immediately invested in trustee securities and the Trustees may from time to time vary and transpose such investments.

(4) The interest received in any year from the investment of the sums paid into the sinking fund shall form part of the revenue for that year of the Trustees but in the case of an accumulating sinking fund the contribution to be made by the Trustees to the sinking fund shall

in that year be increased by a sum equal to the interest before payment of income tax which would have accrued to the sinking fund during that year if interest had been accumulated therein at the rate per centum per annum on which the annual payments to the sinking fund are based.

(5) The Trustees may at any time apply the whole or any part of any sinking fund in or towards the discharge of the sum for the repayment of which the fund was formed:

Provided that in the case of an accumulating sinking fund the Trustees shall continue to pay into the fund each year and accumulate during the remainder of the fixed period a sum equal to the interest before payment of income tax which would have been produced by such sinking fund or part thereof so applied if invested at the rate per centum per annum on which the annual payments to the sinking fund are based.

(6) (a) If and so often as the income of an accumulating sinking fund is less than the income which would be derived from the amount invested if the same were invested at the rate per centum per annum on which the annual payments to the fund are based the Trustees shall make good such deficiency.

(b) If and so often as the income of an accumulating sinking fund is in excess of the income which would be derived from the amount invested if the same were invested at the rate per centum per annum on which the annual payments to the fund are based any such excess may be applied towards such annual payments.

(7) Any expenses connected with the formation maintenance investment application management or otherwise of any sinking fund under this Order shall be paid by the Trustees.

(8) If it appears to the Minister or to the Trustees at any time that the amount in the sinking fund with the future payments thereto in accordance with the provisions of this section together with the accumulations thereon (in the case of an accumulating sinking fund) will probably not be sufficient to repay within the fixed period the sum for the repayment of which the sinking fund was formed it shall be the duty of the Trustees to make such increased payments to the sinking fund as will cause the sinking fund to be sufficient for that purpose.

(9) If the Trustees desire to accelerate the repayment of any moneys borrowed under the powers of this Order they may increase the amounts payable to any sinking fund.

(10) If the amount in any sinking fund with the future payments thereto in accordance with the provisions of this section together with the accumulations thereon (in the case of an accumulating sinking fund) will in the opinion of the Trustees be more than sufficient to repay within the prescribed period the sum for the repayment of which the sinking fund was formed the Trustees may with the consent of the Minister reduce the payments to be made to the sinking fund either temporarily or permanently to such amounts as will be sufficient to repay within the prescribed period the sum for the repayment of which the sinking fund was formed.

(11) If the amount in any sinking fund at any time together with the probable accumulations thereon (in the case of an accumulating sinking fund) will in the opinion of the Trustees be sufficient to repay the loan in respect of which it is formed within the fixed period the Trustees may with the consent of the Minister discontinue the annual payments to such sinking fund.

(12) Any surplus of any sinking fund remaining after the discharge of the whole of the moneys for the repayment of which it was formed shall be applied to such purpose for which capital money may properly be applied as the Trustees may determine.

7. If after having borrowed the sum of money authorised by this Order or any part thereof the Trustees shall pay off the same or any part thereof otherwise than by means of a sinking fund in accordance with the provisions of the immediately preceding section of this Order or by instalments it shall be lawful for the Trustees again to borrow the amount so paid off upon the same securities as those upon which the moneys so paid off were secured and so from time to time: Trustees may reborrow.

Provided that the Trustees shall not have power to reborrow for the purpose of replacing any moneys previously borrowed which have been repaid by instalments or annual payments or by means of a sinking fund or out of moneys derived from the sale of land or out of any capital moneys properly applicable to the purpose of such repayment other than moneys borrowed for that purpose:

Provided also that all moneys so reborrowed by the Trustees shall for the purpose of repayment be deemed part of the sum originally borrowed by them and shall be repaid within the period prescribed for the repayment of the money in lieu of which such reborrowing has been made.

8. All moneys borrowed by the Trustees under this Order shall be applied only to purposes to which capital is properly applicable. Application of borrowed moneys.

9. Every mortgage to be granted by the Trustees shall be by deed duly stamped in which the consideration shall be truly stated and may be in the form contained in Part I of the schedule to this Order or to the like effect. Form of mortgage.

10. Every mortgage to be granted by the Trustees may be partly in writing and partly printed and shall besides being under the common seal of the Trustees be signed by at least two of the Trustees: Manner in which mortgages to be signed and executed.

Provided that the said Trustees shall not by their subscription of any such mortgage be or be held to have rendered themselves individually or personally liable for the payment of any money so borrowed or any interest thereon or of any sums whatsoever in respect thereof.

11. A register of mortgages shall be kept by the treasurer and within fourteen days after the date of any mortgage granted by the Trustees an entry of the amount and date thereof and of the name of the person to whom the same is granted with his proper designation shall be made in the said register and the said register may be inspected at all reasonable times by any person interested in any mortgage granted by the Trustees without fee or reward. Register of mortgages to be kept and to be open to inspection.

Transfer of mortgages.

12.—(1) Any person entitled to any mortgage granted by the Trustees may transfer his right and interest therein to any other person.

(2) Every such transfer shall be by deed duly stamped wherein the consideration shall be truly stated and may be in the form contained in Part II of the schedule to this Order or to the like effect.

(3) Every such transfer shall be intimated to the Trustees and shall be recorded in the register kept by the treasurer in accordance with the provisions of the immediately preceding section of this Order.

Transmission of mortgages by death bankruptcy etc.

13. If any mortgage granted by the Trustees is transmitted by reason of death bankruptcy or for any other reason whatsoever (other than by a transfer according to the provisions of section 12 (Transfer of mortgages) of this Order) upon such evidence being produced as may from time to time be required by the Trustees they shall cause an appropriate entry to be made of such evidence in the register kept by the treasurer in accordance with the provisions of section 11 (Register of mortgages to be kept and to be open to inspection) of this Order.

Trustees not bound to see to execution of trusts.

14. The Trustees shall not be bound to see to the execution of any trust whether express implied or constructive to which any mortgage or other security to be granted by the Trustees or the money principal or interest thereby secured may be subject and the receipt of the person in whose name any such mortgage or other security stands in the books of the Trustees shall be a sufficient discharge to the Trustees of any money payable in respect of such mortgage or other security notwithstanding any trust to which the same or the money thereby secured may then be subject and the Trustees shall not be bound to see to the application of the money paid on such receipt.

Mortgages to be movable estate.

15. All mortgages and all moneys advanced and lent on the security of the undertaking and of the authorised rates shall be movable or personal estate and transmissible as such and shall not be of the nature of heritable or real estate.

Ranking of mortgages.

16. All mortgages granted under this Order shall rank together without any priority on account of the date of the mortgage or on any other account.

Discharge of mortgages.

17.—(1) Any person entitled to any mortgage granted by the Trustees under the authority of this Order may discharge the same and his right and interest therein in favour of the Trustees.

(2) Every such discharge may be written or partly written and partly printed on the mortgage and may be according to the form contained in Part III of the schedule to this Order or to the like effect and such discharge when signed by the person entitled to such mortgage and duly stamped shall be valid and effectual for all purposes.

Protection of lender from inquiry.

18. A person lending money to the Trustees shall not be bound to inquire as to the observance by the Trustees of any provision of the Order of 1940 or of this Order or be bound to see to the application or be answerable for any loss misapplication or non-application of such money or any part thereof.

Appointment of judicial factor.

19.—(1) The mortgagees of the Trustees may enforce payment of arrears of interest or principal or principal and interest due on their mortgages by the appointment of a judicial factor.

(2) In order to authorise the appointment of a judicial factor in respect of arrears of interest or principal or principal and interest the amount owing to the mortgagees by whom the application for a judicial factor is made shall not be less than ten per centum of the total amount of the money then borrowed under this Order and not paid off or the sum of ten thousand pounds whichever is the smaller.

(3) (a) Sections 86 and 87 of the Commissioners Clauses Act 1847 shall be incorporated with and form part of this Order and shall notwithstanding anything in section 4 (Incorporation of Acts) of the Order of 1940 apply and have effect with respect to the enforcement of payment of arrears of interest or principal or principal and interest due on mortgages granted by the Trustees under the authority of this Order.

(b) In the said sections as incorporated with this Order the expression "Commissioners" shall mean the Trustees and the expression "receiver" shall mean judicial factor.

20.—(1) The clerk shall within three months after the expiration of each financial year transmit to the Minister a return showing the provision made by the Trustees for the repayment of moneys borrowed by the Trustees under the authority of this Order. Return to Minister.

(2) The return shall show such particulars shall be made up to such date and shall be in such form as the Minister may require shall be certified by the clerk or other person whose duty it is to keep the accounts of the Trustees and shall if so required by the Minister be verified by statutory declaration made by that person.

(3) If it appears to the Minister from any return made under this section or otherwise that the Trustees—

- (a) have failed to pay any instalment or annual payment required to be paid; or
- (b) have failed to appropriate to the discharge of any loan any sum required to be so appropriated; or
- (c) have failed to set apart any sum required for a sinking fund; or
- (d) have applied any portion of a sinking fund to a purpose other than those authorised;

the Minister may by order direct that such sum as is specified in the order not exceeding the amount in respect of which default has been made shall be paid or applied in the manner and by the date set out in the order and the Trustees shall notify the Minister as soon as the order has been complied with.

(4) An order made under the last preceding subsection may be enforced at the instance of the Minister by decree of either division of the Inner House of the Court of Session pronounced in a summary application presented for that purpose.

(5) If a return required to be made under this section is not made within the time specified in subsection (1) of this section the Trustees shall be liable to a penalty not exceeding twenty pounds to be recovered by the Minister as a debt to the Crown is recoverable and notwithstanding the recovery of any such penalty the making of the return may be enforced at the instance of the Minister by decree of either division of the Inner House of the Court of Session pronounced in a summary application presented for that purpose.

Application of
rates.

21.—(1) The authorised rates and the other income of the Trustees shall subject to the provisions of this Order be applied in the manner and to the purposes and in the order following (that is to say):—

- (a) in defraying the expense of managing carrying on operating and maintaining the undertaking including the making of any payments under the provisions of section 41 (Power to make superannuation and other allowances) and section 42 (Contributory pensions fund) of the Order of 1940;
- (b) in payment of the interest on the money borrowed by the Trustees under this Order;
- (c) in setting apart the payments to any sinking fund formed and maintained by the Trustees under the provisions of this Order; and
- (d) in improving the undertaking maintaining such reserve funds as the Trustees may think fit and generally in carrying into effect the objects and purposes of the Order of 1940 and this Order.

(2) Section 52 (Application of rates &c.) of the Order of 1940 is hereby repealed.

Payment of
Trustees'
expenses.

22.—(1) All travelling hotel and other expenses reasonably incurred by any of the Trustees in and about the business of the Trustees including expenses incurred in travelling to and returning from meetings of the Trustees or of any committee of the Trustees shall be paid in the first instance by the individual trustee incurring such expenses which shall for the purposes of the immediately preceding section of this Order be deemed to form part of the expense referred to in paragraph (a) of the said section and shall be defrayed accordingly.

(2) Subsection (2) of section 37 (Trustees to keep proper books Trustees to bear their own expenses) of the Order of 1940 is hereby repealed and the words " Trustees to bear their own expenses " which form part of the marginal note of the said section 37 shall be omitted therefrom.

Saving for
powers of
Treasury.

23. It shall not be lawful to exercise the powers of borrowing conferred by this Order otherwise than in compliance with any order for the time being in force made under section 1 of the Borrowing (Control and Guarantees) Act 1946.

Costs of Order.

24. All costs charges and expenses of and incident to the preparing for obtaining and confirming of this Order or otherwise in relation thereto shall be paid by the Trustees out of their revenues or out of the rates authorised to be levied by them.

SCHEDULE

PART I

FORM OF MORTGAGE

TRUSTEES OF THE CLYDE LIGHTHOUSES

Mortgage No. £

By virtue of the Clyde Lighthouses Orders 1940 and 1957 We THE TRUSTEES OF THE CLYDE LIGHTHOUSES in consideration of the sum of
paid to us by

for the purposes of the said Orders do grant and assign to
the said

Executors Administrators and Assignees the rates leviable by us
under the authority of the Clyde Lighthouses Consolidation Order
1940 and otherwise and that in security of the payment of the said
sum of to the said

Executors Administrators and Assignees with interest thereon at the
rate of per centum per annum (payable
half-yearly at Whitsunday and Martinmas as per Interest Warrants
herewith delivered) until payment of the said principal sum on the
day of Nineteen Hundred and

and provided the term of payment is extended by
Minute endorsed hereon then with such rate of interest until such
extended term as shall be specified in the said Minute.

In witness whereof these presents written (so far as not printed) by
are sealed with the Common Seal of the said
Trustees and subscribed by us

Two of the said Trustees at Glasgow the
day of Nineteen Hundred and before
these

Witnesses

Trustee.
Trustee.

Transfers require to be produced to the *Treasurer* duly stamped for
Registration within thirty days after their date if executed within the
United Kingdom or otherwise within thirty days after their arrival
in the United Kingdom Partial Transfers are not registered.

PART II

FORM OF TRANSFER OF MORTGAGE

I in consideration of the sum of
paid to me by do hereby transfer
to the said Executors
Administrators and Assignees [*or as the case may be*] a certain mortgage
number dated the made in favour
of by the Trustees of the
Clyde Lighthouses by virtue of the Clyde Lighthouses Orders 1940 and
1957 in connection with their undertaking for securing the sum of
together with the interest thereon from and after the
and all my right and interest in and to the
principal money thereby secured and interest thereon as aforesaid and
in and to the revenues thereby assigned.

In witness whereof [*testing clause according to the law of Scotland*].

PART III

FORM OF DISCHARGE OF MORTGAGE

Received from the Trustees of the Clyde Lighthouses the within sum
of _____ which sum with all interest due thereon
is hereby discharged.

Dated at _____ the _____ day of _____
One Thousand Nine Hundred and _____

Table of Statutes referred to in this Act

Short title	Session and chapter
Commissioners Clauses Act 1847	10 & 11 Vict. c. 16.
Private Legislation Procedure (Scotland) Act 1936	26 Geo. 5 and 1 Edw. 8 c. 52.
Borrowing (Control and Guarantees) Act 1946	9 & 10 Geo. 6 c. 58.
Local Government (Scotland) Act 1947 ...	10 & 11 Geo. 6 c. 43.

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